

Contestant ID: _____

Time: _____

Rank: _____



PAYROLL ACCOUNTING

(125)

STATE 2023

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer (21 @ 3 points each) _____ (63 points)

Job 1 – Payroll Register _____ (40 points)

Job 2 – Piece-Rate Work _____ (48 points)

TOTAL POINTS _____ **(181 points)**

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all percentages to two decimal places unless otherwise indicated.
- Assume all employees earn overtime for any hours worked over 40 hours in a week unless otherwise instructed.
- All calculations regarding time should be rounded to the nearest quarter hour.
- Use 6.2% for Social Security Tax on the first \$100,000 in wages.
- Use 1.45% for Medicare Tax for all wages.
- Use 5.4% for State Unemployment Tax and 0.8% (\$7,000 ceiling) for Federal Unemployment Tax.
- Assume no employee has accumulated earnings in excess of the social security tax, SUTA, or FUTA base unless otherwise indicated.

Multiple Choice Questions

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. _____ is the monies an employee is paid based on the number of sales they generate.
 - A. wage
 - B. salary
 - C. commission
 - D. pay period
2. Which of the following are NOT considered payroll taxes for a business?
 - A. income
 - B. social security
 - C. payroll
 - D. Medicare
3. The total amount of income for an employee before deductions are calculated is the _____.
 - A. net pay
 - B. gross deduction
 - C. taxes
 - D. gross pay
4. A payroll register summarizes all of the following EXCEPT _____.
 - A. dividends
 - B. deductions
 - C. earnings
 - D. net pay
5. For employees that work on commission, the minimum amount of work to be completed is a _____.
 - A. commission
 - B. quota
 - C. base
 - D. earning
6. Which of these are not considered an employee of a company
 - A. Hourly worker's hours on a production line
 - B. Corporate CEO's salary
 - C. Director of a corporation who only attends and participates in board meetings
 - D. Salesperson who is on a commission plus salary basis

7. Which of the follow is true for minimum wage
 - A. Every type of employee has to earn minimum wage
 - B. Tipped employees can be paid \$2.13 per hour as long as they earn enough tips to make minimum wage
 - C. If the state law has a higher minimum wage rate, this rate will not prevail over the federal minimum wage
 - D. None of these statements are correct
8. Which of the following is true pertaining to a work week
 - A. It is a 168 hour consecutive, 7 day period
 - B. A workweek can be changed to save on overtime, changes must be permanent
 - C. A workweek must begin on Sunday or Monday
 - D. Overtime hours can be shifted to the next workweek to avoid paying time and a half
9. Which of the following is not taxable for OASDI/HI purposes
 - A. Advance Payments
 - B. 7th consecutive month of sick pay
 - C. Discretionary Bonuses
 - D. Jury Duty pay
10. Which of following item(s) are not immediately taxed when 401K contributions are withheld?
 - A. OASDI/HI
 - B. FIT
 - C. Matched Funds from Employer
 - D. Both FIT and matched funds from employer
11. An employer with more than a \$50,000 payroll tax liability within their lookback period is classified as a
 - A. Monthly Depositor
 - B. Semi-weekly Depositor
 - C. Next day Depositor
 - D. Quarterly Depositor
12. An employer with a <\$50,000 FICA liability in their look back period is considered a
 - A. Monthly Depositor
 - B. Weekly Depositor
 - C. Semi-weekly Depositor
 - D. Next Day Depositor
13. When supplemental wages are paid at the same time as regular wages, how are withholding taxes computed?
 - A. withholding on supplemental wages is taxed separately
 - B. withholding taxes are based on the total of the wages and supplemental wages
 - C. supplemental wages are not subject to withholding taxes
 - D. supplemental wages are taxed at a different withholding rate

14. FICA defines all of the following as wages except _____.
- A. year-end bonuses
 - B. standby payments
 - C. total cash tips of \$15 received by a tipped employee in May
 - D. first six months of six pay
15. Tipped employees who report monthly tips are
- A. not subject to income tax on these tips.
 - B. only taxed on half of these tips.
 - C. added to their regular pay and taxed fully.
 - D. only subject to income taxes when they are above \$100.

Short Answer (63 Points)

1. Harley works at a shoe store and receive \$5.50 per each pair of shoes she sells. In a week's time, she sold 18 pair of shoes on regular time and 6 were made on overtime. Compute Harley's gross earnings for work on commission

Gross Earnings = \$ _____

2. Harley's workplace has decided to add an incentive during the holidays. The incentive are as follows

Footwear Palace Shoe Pay Scale	
1 – 20 pairs of shoes	\$5.50 per pair of shoes
21 – 30 pairs of shoes	\$5.75 per pair of shoes
31 or more pairs of shoes	\$6.00 per pair of shoes

The week of the holiday, Harley was able to sell 37 pairs of shoes. What is her gross earnings based on the pay scale?

Gross Earnings \$ _____

3. Eddie is about to close on his first home as a real estate agent. The house is being sold for \$325,000 and he will make a commission of 6.5%. How much commission will Eddie make?

4. John earns an annual salary of \$63,588 for a 40-hour work week. Complete the following chart:

Monthly Pay	Biweekly Pay	Weekly Pay	Hourly Rate	Overtime Rate

5. Convert the following pay into a regular hourly rate and an overtime rate for a 40-hr week.

	<u>Hourly Rate</u>	<u>Overtime Rate</u>
\$52,520 per year	_____	_____
\$2,848.00 bi-weekly	_____	_____
\$8,494.00 per quarter	_____	_____

6. Using the information provided, calculate the missing amounts.

- Amber is paid \$16.30 an hour and worked 38 hours during this week's pay period.
- She pays \$76.00 on a credit union loan each paycheck.
- She contributes \$10.00 to the PAT fund from each paycheck.
- She pays \$135 a month (4-week month) for health insurance.

Amber's Take-Home Pay:	
Gross Pay	
Federal Income tax	\$ 72.29
State Income tax	\$ 38.52
Social Security tax	
Medicare tax	
Health Insurance	
Credit Union	
PAT fund	
NET PAY	

Job 1 – Payroll Register for Weekly Pay (40 Points)

Complete the following register for the employees of Digital Solutions. All employees are paid weekly on an hourly rate. Federal income tax is at a flat rate of 20%.

PAYROLL REGISTER

SEMIMONTHLY PERIOD ENDED January 28, 20--

DATE OF PAYMENT January 14, 20--

						1	2	3	4	5	6	7	8	9
	Employee's Name	Marital Status	No. of Allowances	Pay Rate	Hours worked this week	Earnings			Deductions				Net Pay	Check No.
						Regular	Overtime	Gross Earnings	Federal Income Tax	Social Security Tax	Medicare Tax	Deduction Totals		
1	Adams, Layla	M	5	12.50	50									101
2	Johns, Kaylee	M	4	10.00	44									102
3	Hernandez, Brynlee	S	2	10.25	42									103
4	Day, Daniel	S	3	25.00	34									104
	TOTALS													

Job 2 – Piece-Rate (48 Points)

Lourdes works under a piece-rate work agreement, and she earns an extra half time the regular piece rate for any pieces over 500 per day or 250 per half day; Lourdes is paid weekly for the following pieces during a particular week. Calculate Lourdes' regular and overtime pay. She is paid 17.5 cents per piece and is calculated & rounded on a daily basis. She is not docked for producing under the 500 piece quota, she just gets the piece rate amount.

			Regular Rate Pieces	Overtime Rate Pieces
Monday	8 hours	460 pieces		
Tuesday	8 hours	535 pieces		
Wednesday	8 hours	500 pieces		
Thursday	4 hours	275 pieces		
Friday	8 hours	620 pieces		
Saturday	4 hours	240 pieces		

Regular Earnings

\$ _____

Overtime Piece Rate (Round to 3 decimal places)

\$ _____

Overtime Earnings

\$ _____

Total Earnings

\$ _____